# Research evolution | preserved original and reviewed Edition B

## Provenance

Original September1 Markdown is included unchanged below and byte-identically as docs/historical/amazon-edition-a.md. It is not replaced by the October19 completed copy. Original checkout disclosure remains: "I used Codex after AI use was allowed to read Amazon's SEC filing, organize filing facts, and help draft the Edition A and checkout language." No Brightspace receipt or entirely AI-free authorship is asserted. Its submission/permission wording is unverified historical text.

Dr. Z's October19 announcement, supplied by the student and retained verbatim in evidence/course_update.md, says to preserve originals and continue the final submission. Missing receipt alone is not used to halt work. Separate early-AI recovery is not represented as expressly waived. No original announcement posting was accessed.

## Original September1 draft | unchanged content

# Project 1 Valuation — Edition A

## Decision and user

I am looking at Amazon to decide whether it is worth continuing with a full valuation for Project 1. The intended user is me acting as a student equity-research analyst. My decision is whether to initiate research now, wait for more information, or stop considering the company.

## Company and valuation date

- Company: Amazon.com, Inc.
- Ticker: AMZN
- Valuation date: September 1, 2026
- Initial decision: Watch/defer

## Initial thesis

My starting opinion is watch/defer. Amazon is growing, especially in AWS, and has a large amount of cash. However, it also has a large amount of debt and is spending heavily on technology and infrastructure. I want to understand whether its future cash flow can support that spending before making a stronger decision.

## Known evidence

Amazon's Form 10-Q covers the quarter ended June 30, 2026 and was filed July 30, 2026. The accession number is 0001018724-26-000026. The statements are in U.S. dollars and mainly reported in millions.

Amazon reported $200.606 billion of total net sales for the three months ended June 30, 2026, compared with $167.702 billion in the same quarter of 2025. AWS sales were $42.232 billion, compared with $30.873 billion in the same quarter of 2025. Amazon said AWS sales increased 37% because of increased customer usage, partly offset by pricing changes.

At June 30, 2026, Amazon reported $78.213 billion in cash and cash equivalents and $44.775 billion in marketable securities. It reported $132.995 billion as the face value of long-term debt, including a $3.330 billion current portion. Long-term debt shown on the balance sheet after the current portion and issuance adjustments was $128.894 billion.

The diluted-share figure was 10.903 billion weighted-average shares for the second quarter of 2026. I am using diluted weighted-average shares because they include the effect of potentially dilutive stock awards and are more complete

than basic shares for a per-share valuation.

Primary source: Amazon.com, Inc., Form 10-Q for the quarter ended June 30, 2026, filed July 30, 2026: https://www.sec.gov/Archives/edgar/data/1018724/000101872426000026/amzn-20260630.htm

## Consequential assumptions

- AWS will continue growing, although probably not at exactly the current 37% rate.
- Amazon will turn enough of its sales into operating cash flow to support its investments.
- Technology and infrastructure spending will eventually produce useful returns.
- I will treat cash, debt, leases, and investments consistently when moving from enterprise value to equity value.

## Unknowns

- I do not yet know what a reasonable long-term AWS growth rate should be.
- I do not yet know how much of Amazon's current investment spending is temporary.
- I need to decide how leases and non-operating investments should be handled in the valuation.
- I do not yet have a discount rate or a finished free-cash-flow forecast.
- I do not yet know whether Amazon looks overvalued or undervalued at the valuation date.

## Research plan

1. Review Amazon's cash-flow statement and separate normal spending from unusually high investment spending.
2. Compare AWS growth and margins with earlier periods.
3. Build simple revenue, operating-margin, and free-cash-flow forecasts.
4. Estimate a discount rate and terminal-growth rate.
5. Complete the enterprise-to-equity bridge using consistent cash, debt, lease, and share-count definitions.
6. Test how the result changes when AWS growth, margins, and the discount rate change.

## Partner falsification question

Partner's question: [Enter the exact question your partner gives you.]

Why it matters: [Explain in one sentence how a bad answer could change your watch/defer decision.]

# Edition B | subsequent development and financial review

## October19 addition

The user supplied this later question: "If Amazon's AWS growth and operating cash flows slow materially over the next several years, would the company's heavy infrastructure investments still generate returns sufficient to justify the current valuation?" The later significance concerned moving watch/defer toward do not initiate. This was added October19, not September1; no historical partner provenance is fabricated.

## Model evolution

Lab06 used FCFF growth guesses, WACC and a bridge; Lab08 added qualified P/E comparisons; Lab10 integrated statements but valued positive-only FCFE; Lab11 retained stress/funding failures; Lab12 retained watch/defer. Initial Edition B added signed FCFF and produced a provisional$40.74 core subtotal. A preserved105-file snapshot contains that prior build and failed/corrected development evidence.

## Review changes and evidence

| step | per_share |
|---|---|
| Prior published incomplete core subtotal | $40.74 |
| Remove named FY2025 FTC settlement from recurring forecast costs | $43.77 |
| Apply terminal opening-asset D&A/rental policies | $40.50 |
| Include reported July notes in market-value debt proxy/WACC | $41.00 |
| Known July debt/cash and OpenAI payment in core bridge | $39.05 |

| Item | Earlier position | Reviewed Edition B | Reason/evidence |
|---|---|---|---|
| Action | Watch/defer | Do not initiate at dated price | No verified purchase case; corrected base funding fails |
| Known investments | Omitted from funding | FY2026 cash uses61067m | Q2 cash-flow statement plus Note2 subsequent OpenAI funding |
| Known financing | July notes omitted | July25000m included, separate from assumed2027 issue | Q2 subsequent-event debt note |
| Strategic assets | Excluded, not valued | Separate carrying references; not a fair-value appraisal | Q2 Note2 components; tax/liquidity uncertainty explicit |
| Terminal policy | D&A scaled with sales | Opening PP&E and ROU policies applied | Correct mechanics; investment normalization still needs evidence |
| Headline valuation | Incomplete$40.74 subtotal | $39.05 core diagnostic; $57.06-$61.59 carrying references | Full verified Amazon point value not claimed |

## AI output challenged and disposition

The first model's source-token checks did not detect omitted cash investments or financing; passing arithmetic tests did not validate economic completeness. The financial review rejected the complete-value interpretation, corrected disclosed transactions and terminal consistency, and added targeted regression tests. Codex performed this separate review; it is not the student's assessed AI-off work. No forecast was tuned toward the market price.

## What changed from Edition A to Edition B, and why?

The recommendation changes to do not initiate because the evidence does not support authorizing a new position and the corrected base needs unsupported funding. The infrastructure-return concern remains, but it is now linked to signed operating cash flow, actual disclosed investments/funding, and an incomplete strategic-asset appraisal. The former83.83% downside is withdrawn as a full-company claim. Subsequent work remains transparently AI-assisted.